

Advanced Micro Devices, Inc. (AMD.US)

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 22, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-22

UNDERWEIGHT

Blended Target: \$487.90

DCF + Comps + Analyst (see cross-check table)

Implied upside: -11.6%

Price (Jun): \$551.63

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$487.90 (-11.6% vs \$551.63); multi-method valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **UNDERWEIGHT** rating; blended target \$487.90. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$899.49B	Shares Out.	1630.6M
52-Week Range	\$132.93 – \$562.99	P/E (TTM)	185.1x
P/B	13.9x	Beta	2.49
Avg Volume	37.86M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$37.45B	Rev Growth	+37.8%
Op. Margin	14.4%	FCF (TTM)	\$6.74B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,785	34,639	47,733	60,721	72,741
Revenue Growth (%)	N/A	34.3%	37.8%	27.2%	19.8%
Net Income (\$M)	1,641	4,335	5,974	7,599	9,103
Net Income Growth (%)	N/A	164.2%	37.8%	27.2%	19.8%
Gross Margin (%)	49.4%	49.5%	53.1%	53.1%	53.1%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
ROE (%)	2.9%	6.9%	9.5%	10.9%	12.5%
EPS (\$)	1.01	2.66	3.66	4.66	5.58
Book Value / Share (\$)	35.30	38.64	38.64	42.60	44.73
P/E (x)	548.13	207.49	150.58	118.37	98.81
P/B (x)	15.62	14.28	14.28	12.95	12.33
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$47.99	-91.3%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	\$169.26	-69.3%	—	Peer median P/E 56.8x
Comps — EV/EBITDA (peer median)	\$182.48	-66.9%	—	Peer median 40.7x
Comps — P/S (peer median)	\$339.68	-38.4%	—	Peer median P/S 14.8x
Comps — Blended (avg. of available multiples)	\$182.48	-66.9%	0% (excluded)	Diverges below other methods (37% of median)
Analyst consensus (Yahoo Finance)	\$487.90	-11.6%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	\$487.90	-11.6%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	17.71%
Terminal g	4.00%
FCFE growth	13.23%
Base FCFE	\$6.74B
PV explicit (5Y)	\$32.57B
PV terminal	\$45.67B
Equity value (adj.)	\$78.25B
Implied price	\$47.99
vs. current	-91.3%

INDUSTRY ANALYSIS

1. Industry Overview

Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and Embedded. The company offers artificial intelligence (AI) accelerators, microprocessors, and graphics processing units (GPUs) as standalone devices or as incorporated into accelerated processing units, chipsets, and data center and professional...

2. Key Trends

- Strong top-line growth (37.8% YoY)
- Healthy operating margins (14.4%)
- Above-market volatility (β=2.49)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 185.1x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
INTC	Intel Corporation	\$708.36B	N/A	51.8x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$233.88B	23.9x	18.4x	22.3%	-3.5%
AVGO	Broadcom Inc.	\$1.87T	65.2x	45.4x	38.8%	+47.9%
TXN	Texas Instruments Inco	\$302.41B	56.8x	35.9x	29.1%	+18.6%
AMD*	Advanced Micro Devices	\$899.49B	185.1x	119.9x	13.4%	+37.8%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.